



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Head of research: Kunal Bhatia 022 67141442

Associate: Suraj Nandu 022 67141438

Quarterly Update @ Dalal & Broacha

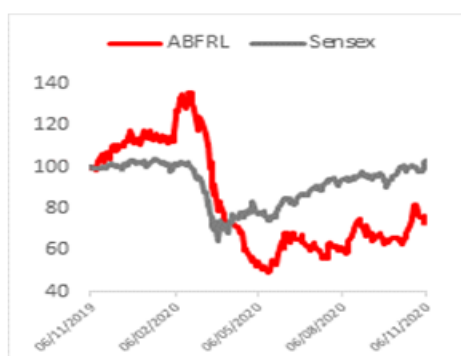
BUY

Current Price	153
Target Price	195
Upside/Downside	27%
52W range	96/281

Key Share Data

Market Cap (Rs.bn)	119
Market Cap (US\$ mn)	1603
No of o/s shares (mn)	864
Face Value	10
Monthly Avg. vol(BSEgrew byNSE)	
Nos'000	5818
BSE Code	535755
NSE Code	ABFRL
Bloomberg	ABFRL:IN

Price performance



% Shareholding	Sept-20	July-20
Promoters	59.79	59.79
Public	39.69	39.69
Others	0.52	0.52
Total	100.0	100.0

Results in line with estimates, company maintains stance to reach normalcy by Q4FY21"

Revenue de grew by 55.7% yoy to Rs. 10185.90mn and up 2.18x QoQ

RM as a % of sales stands at 52.6% v/s 49.7% YoY and 58.6% QoQ

Rent (variable portion): down 36% YoY to Rs. 651.50mn and up 1.33x QoQ/as a % of sales it stood at 6.4% v/s 12.4% YoY and 8.7% QoQ

Other Expenses reduced by 45.4% YoY to Rs. 2507.5mn & grew by 16.5% QoQ/as a % of sales it stood at 24.6% v/s 19.2% YoY and 67.3% QoQ

Employee Costs reduced by 31.07% YoY to Rs. 1690.7mn and down 30% QoQ

EBITDA loss: of Rs. 17.4mn v/s profit of Rs. 3461.6mmn YoY and loss of Rs. 3513.2mn QoQ

Depreciation grew by 7.3% YoY to Rs. 2375.4mn

Finance Costs grew by 36.8% YoY to Rs. 1439.8mn

Other Income (Excluding rental concessions): stood at Rs. 193.2mn v/s Rs. 162.2mn YoY (Rental Concession of Rs. 1215.2mn inclusive of Rs. 381mn for future quarters, H1FY21 concession: Rs. 2790.5mn inclusive of Rs. 628.7mn for future quarters)

Loss before tax of Rs. 2424.20mn as against profit of Rs. 358.3mn and loss of Rs. 5334.60mn QoQ

Loss After Tax at Rs. 1812.80mn v/s profit of Rs.69mn (Tax: benefit of Rs. 611.4mn in the current quarter)

SEGMENTS:

1. **Madura Fashion & Lifestyle (MFL):** 66% of Sales / Sales de grew by 52% YoY to Rs. 7060mn.

A. **Lifestyle Business:** Sales de grew by 58% to Rs. 5310mn;

Added 25 stores stores QoQ, total area 2.85mn sq ft); H1FY21: closed 6 stores

EBITDA: down 82% to Rs.390mn as of Rs. 2180mn YoY

C. **Other Businesses:** (Forever 21, super premium brands & innerwear): sales de-grew by 16% yoy to Rs. 1750mn

EBITDA: grew by 13% YoY to Rs. 260mn

2. Pantaloons: 34% of Sales

Sales de grew by 60% yoy to Rs.3690mn

Store total: 339; closed 3 stores during the quarter; total area 4.36mn sq ft);

EBITDA: de-grew by 51% to Rs. 710mn

Financials (Rs. Mn)

Year	Op Income	% Growth	EBIDTA	OPM%	PAT	% Growth	EPS	PE (x)	ROE%	ROCE%
FY19	81,177.2	13.2%	5,540.7	6.8%	3,212.2	172.7%	4.2	31.3	22%	13%
FY20	87,425.3	7.7%	12,253.7	14.0%	(1,568.3)	-148.8%	(2.0)	(64.2)	-14%	12%
FY21e	46,397.8	-46.9%	2,597.1	5.6%	(6,278.0)	300.3%	(7.3)	(17.9)	-44%	-10%
FY22e	90,414.5	94.9%	14,150.3	15.7%	393.2	-106.3%	0.5	285.8	2%	12%

EBITDA numbers are Post IND-AS 116



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Conference call key takeaways**General**

- 1) **Revenue recoveries and expectations YoY:** Q1FY21: 20%, Q2FY21: ~56%, Q3FY21e: ~70-80%, Q4FY21e: 100%
- 2) **Debt reduction target:** to Rs. 20-22bn (~34% reduction from current levels) by FY21 end maintained. This does not include Flipkart deal amount as management expects it to come in by Q4FY21.
- 3) **Store re-opening:** stood at 90% at end of Q2FY21
- 4) **Capex:** guidance of Rs. 1.5bn in FY21
- 5) **Working Capital:** (i) **Inventory:** will remain at similar levels, (ii) **Receivables** will reduce, (iii) purchases were down in H1 as inventory had piled up in wholesale channel and thus primary sales were lower.

Madura Fashion & Lifestyle (MFL): 66% of Sales**Lifestyle Business**

- 1) **Channel wise performance, Yoy:** (i) **Wholesale:** (-)88%, (ii) **Retail:** (-) 42%, (iii) **Others (E-Commerce, Exports, Factory Outlets):** (-) 13%
- 2) **Wholesale:** business impacted most as dispatches were controlled by the company/ majority of the wholesale channel for the company is Modern trade which took longer to bounce back and thus had inventory pile up which needs to be cleared first
- 3) **Store additions:** 100 gross additions, 25 net additions during the quarter/ H1FY21: net closures of 6 stores/ company is target 150 net additions for FY21e
- 4) **E-Commerce:** continued its high growth momentum with contribution increase 3x YoY to high single digit now/ company expects it touch early double digits (after re-opening of all stores and normalcy)
- 5) **Omni Channel:** 800 out of 2247 stores are now under Omni Channel with further rapid expansion being done.

Other Business (Innerwear & Athleisure, Super- Premium brands and Forever 21)

- 1) **Innerwear & Athleisure:** witnessed strong growth YoY on back of strong demand/ E-Commerce sales grew by 7x recording the highest ever quarterly sales from the channel
- 2) **premium brands:** is almost at pre-Covid levels with good traction from the e-commerce channel. Company received strong traction at "the collective.in". Business achieved profitability on prudent cost controls

Pantaloon: 34% of Sales

- 1) **Private brand share increase:** to 67% v/s 62% YoY on back of increased share of private labels (more offerings in terms of ethnic wear, casual wear etc) and increased demand in Kids-wear (fully on private brand) which is aided due to school shut downs
- 2) **Store re-opening:** stood at 96% by the end of Q2FY21. Company witnessed sequential improvement in sales



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- 3) **E-Commerce:** sales 3x on back of strong assortment offerings, new category launches and expansion of Omni Channel to ~50% of network (i.e. ~120 stores). The channel contribution is low currently which is expected to increase to 5-6% post normalization.
- 4) **Store additions:** gross additions of 7 stores in the quarter, while company closed 10 stores bringing net closures at 3. Company plans to add 20-25 stores (gross) in the FY21e.

Outlook: Company has maintained their debt reduction target to Rs. 20-22bn by FY21 end which is encouraging. Furthermore, Once Flipkart deal is approved and money is received, part of the proceeds will be used for debt reduction while significant part will be used for investments behind future growth engines (Athleisure, Ethnic wear, Innerwear) and network expansion. Company's focus on store openings while equally focusing on E-Commerce business and subsequently the Omni Channel is promising. We remain positive on the current developments taking place in the company.

Valuation: at CMP, the stock is trading at 10.4x FY22e EV/EBITDA with an EBITDA of Rs. 14565mn. ***We have considered FY21e gross debt level of Rs. 21.6bn and further reduction to Rs. 17bn in FY22e on expectation of money received from rights issue as well as Flipkart deal and thus are maintaining the same multiple as before i.e. 12x while valuing the company. We arrive at a target price of Rs. 195 i.e. upside of 27%. We maintain BUY.***



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Quarterly Snapshot

Particulars	Post IND-AS 116			Post IND-AS 116		
	Q2FY20	Q2FY21	growth	H1FY20	H1FY21	growth
Revenue	22971.8	10185.90	-55.7%	43626.4	13385.5	-69.3%
Other Income	162.2	1408.4	768.3%	337.3	3173.8	840.9%
Total	23134	11594.3	-49.9%	43963.7	16559.3	-62.3%
Total RM cost	11417.5	5353.60	-53.1%	20900.5	7227.5	-65.4%
Gross Profit	11554.3	4832.3	-58.2%	22725.9	6158	-72.9%
Employee Benefit expense	2476.6	1690.70	-31.7%	5077.9	4097.7	-19.3%
Rent (variable)	1019.7	651.50	-36.1%	2242.3	931	-58.5%
Other expenses	4596.4	2507.5	-45.4%	8803.5	4659.9	-47.1%
Total	19510.2	10203.3	-47.7%	37024.2	16916.1	-54.3%
Operating profit	3461.6	-17.4	-100.5%	6602.2	-3530.6	-153.5%
Depreciation	2213.3	2375.4	7.3%	4235.7	4709.4	11.2%
EBIT	1410.5	-984.4	-169.8%	2703.8	-5066.2	-287.4%
Finance costs	1052.2	1439.8	36.8%	1994.1	2692.6	35.0%
PBT	358.3	-2424.2	-776.6%	709.7	-7758.8	-1193.3%
Less: taxes	289.3	-611.4		425.1	-1946.9	
PAT	69	-1812.8	-2727.2%	284.6	-5811.9	-2142.1%
EPS	0.10	-2.34	-2442.1%	0.37	-7.51	-2142.1%
% of sales						
RM	49.7%	52.6%		47.9%	54.0%	
GPM	50.3%	47.4%		52.1%	46.0%	
Rent	4.4%	6.4%		5.1%	7.0%	
Other expenses	20.0%	24.6%		20.2%	34.8%	
tax rate (on PBT)	80.7%	25.2%		59.9%	25.1%	
OPM	15.1%	-0.2%		15.1%	-26.4%	



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ABFRL Ltd Financial data											
P&L (Rs mn)	FY18	FY19	FY20	FY21E	FY22E	Cash Flow St. (Rs. mn)	FY18	FY19	FY20	FY21E	FY22E
Net Sales	71,720.7	81,177.2	87,425.3	46,869.2	90,481.4	Net Profit	1,177.9	3,212.2	(1,439.0)	(6,393.8)	1,119.3
						Add: Dep. & Amort.	2,805.2	2,823.3	8,768.2	8,889.7	10,036.6
						Minority Interest	-	-	-	-	-
Cost of sales	67,037.9	75,636.5	75,171.6	44,194.2	75,916.3	Cash profits	3,983.1	6,035.5	7,329.2	2,495.9	11,156.0
Operating Profit	4,682.8	5,540.7	12,253.7	2,675.0	14,565.0	(Inc)/Dec in					
Depreciation	2,805.2	2,823.3	8,768.2	8,889.7	10,036.6	-Sundry debtors	(996.6)	(2,347.5)	(536.0)	3,265.6	(4,779.4)
PBIT	1,877.6	2,717.4	3,485.5	(6,214.7)	4,528.4	-Inventories	(2,599.5)	(2,300.8)	(4,281.2)	5,516.8	(6,316.4)
Other income	328.1	647.8	650.9	3,307.9	1,268.8	-Loans/advances	(3.0)	(9.1)	(20.5)	(8.8)	(9.6)
Interest	1,716.0	1,874.2	4,227.3	4,822.5	4,300.8	-Current Liab and Provisions	8,364.1	11,115.9	(2,210.5)	(12,275.4)	9,173.8
						- Other Assets	(881.6)	(2,729.0)	(572.7)	(809.1)	(890.5)
Profit before tax	489.7	1,491.0	(90.9)	(7,729.3)	1,496.4	- Non Curent security Deposit	(376.3)	(197.3)	(277.3)	-	(233.9)
Exceptional and Extra Ordinary	-	-	-	-	-	Change in working capital	3,507.1	3,532.2	(7,898.2)	(4,311.0)	(3,056.0)
share of profit/loss in JV	-	-	-	-	-	CF from Oper. activities	7,490.2	9,567.7	(569.0)	(1,815.1)	8,100.0
PBT (Post Extra Ordinary)	489.7	1,491.0	(90.9)	(7,729.3)	1,496.4						
Provision for tax	(688.2)	(1,721.2)	1,348.1	(1,335.5)	377.1	CF from Inv. activities	(4,446.8)	(4,265.7)	(7,009.3)	(10,409.6)	(9,916.8)
Reported PAT	1,177.9	3,212.2	(1,439.0)	(6,393.8)	1,119.3						
MI	-	-	-	-	-	CF from Fin. activities	(2,562.1)	(5,455.8)	9,654.9	22,685.4	(2,738.4)
Adjusted PAT	1,177.9	3,212.2	(1,439.0)	(6,393.8)	1,119.3						
						Cash generated/(utilised)	481.3	(153.8)	2,076.6	10,460.7	(4,555.2)
						Cash at start of the year	246.6	727.9	574.1	2,650.7	13,111.4
						Cash at end of the year	727.9	574.1	2,650.7	13,111.4	8,556.2
							727.9	574.1	2,650.7	13,111.4	8,556.2
							(0.0)	(0.0)	0.0	-	-
Balance Sheet	FY18	FY19	FY20	FY21E	FY22E	Ratios	FY18	FY19	FY20	FY21E	FY22E
Equity capital	7,716.9	7,734.8	7,739.8	9,376.2	9,376.2	OPM	6.5	6.8	14.0	5.7	16.1
Reserves	3,214.2	6,554.0	3,119.2	19,774.4	23,155.4	NPM	1.6	3.9	(1.6)	(12.7)	1.2
Net worth	10,931.1	14,288.8	10,859.0	29,150.6	32,531.6	Tax rate	(140.5)	(115.4)	(1,483.1)	17.3	25.2
Minority Interest	-	-	-	-	-	Growth Ratios (%)					
Non Current Liabilites	14,697.1	10,126.7	29,259.3	31,242.1	30,624.6	Net Sales	8.6	13.2	7.7	(46.4)	93.1
						Operating Profit	7.0	18.3	121.2	(78.2)	444.5
Current Liabilites	31,710.2	41,795.2	56,771.3	42,975.8	53,513.6	PBIT	(3.7)	44.7	28.3	(278.3)	(172.9)
						PAT	120.2	172.7	(144.8)	344.3	(117.5)
CAPITAL EMPLOYED	57,338.4	66,210.7	96,889.6	1,03,368.6	1,16,669.8	Per Share (Rs.)					
Non Current Assets	30,835.4	32,519.1	55,380.7	59,479.8	65,474.0	Net Earnings (EPS)	1.53	4.2	(1.9)	(6.8)	1.2
Fixed Assets	7,685.9	7,182.7	29,123.5	31,154.7	36,781.3	Cash Earnings (CPS)	(2.1)	0.5	(13.2)	2.7	11.9
Non Current Investments	42.1	42.1	1,700.1	1,700.1	1,700.1	Dividend	-	-	-	-	-
Non Current tax assets	187.5	162.0	222.5	222.5	222.5	Book Value	14.2	18.5	14.0	31.1	34.7
Long Term Loans and Advances	29.0	30.8	34.3	36.0	37.8	Free Cash Flow	3.9	6.9	(9.8)	(13.0)	(1.9)
Other NON Current Assets	1,091.4	1,159.1	764.8	879.5	1,011.4						
Goodwill	18,596.0	18,596.0	18,596.0	18,596.0	18,596.0	Valuation Ratios					
Deferred Tax Assets	688.2	2,633.8	1,949.6	3,901.1	3,901.1	P/E(x)	100.2	36.8	(82.3)	(22.4)	128.2
Security Deposits	2,515.3	2,712.6	2,989.9	2,989.9	3,223.8	P/B(x)	10.8	8.3	10.9	4.9	4.4
						EV/EBIDTA(x)	28.8	23.4	11.4	56.8	10.4
Current Assets	26,503.0	33,691.6	41,508.9	43,888.8	51,195.8	Div. Yield(%)	-	-	-	-	-
Current investments	-	-	-	-	-	FCF Yield(%)	2.6	4.5	(6.4)	(8.5)	(1.3)
Inventories	16,912.0	19,212.8	23,494.0	17,977.2	24,293.6	Return Ratios (%)					
Trade Receivables	5,518.4	7,865.9	8,401.9	5,136.3	9,915.8	ROE	11%	22%	-13%	-22%	3%
Cash and Bank Balances	727.9	574.1	2,650.7	13,111.4	8,556.2	ROCE	8%	13%	12%	-6%	12%
Short Term Loans and Advances	46.9	54.2	71.2	78.3	86.2						
Other Current Assets	3,297.8	5,984.6	6,891.1	7,585.4	8,344.0						
	57,338.4	66,210.7	96,889.6	1,03,368.6	1,16,669.8						



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Contact	Email ID	Contact No.	Sector
Mr. Kunal Bhatia	kunal.bhatia@dalal-broacha.com	022 67141442	Auto, Auto Ancillary, FMCG
Mrs.Charulata Gaidhani	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma /Healthcare
Mr. Mayank Babla	mayank.babladalal-broacha.com	022 67141412	I.T/Telecom/Media
Mr. Avinash Tanawade	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr. Akshay Ashok	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr. Suraj Nandu	suraj.nandu@dalal-broacha.com	022 67141438	Associate

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: equity.research@dalal-broacha.com